



March 14, 2025

Rep. Lance W. Clow, Chair
House Business Committee
2170 Bitterroot Dr.
Twin Falls, ID 83301

Rep. Jordan Redman, Vice Chair
House Business Committee
1410 Lincoln Way, Ste 100
Coeur d'Alene, ID 83814

RE: Idaho SB 1111 - Oppose

Dear Chair Clow and Vice Chair Redman:

On behalf of the advertising industry, we write to oppose Idaho SB 1111, a bill regarding “truth in digital advertising sales.”¹ SB 1111 would create an ambiguous requirement for publishers to provide third-party verification of their contractual representations related to key performance indicators (“KPIs”) and geo-targeting of digital advertisements. This requirement would unreasonably interfere with issues that are commonly addressed in the marketplace through contract negotiations and through enlisting the services of third-party advertising measurement companies. As drafted, the bill would create unfairness in an otherwise fair and efficient marketplace by favoring certain business models over others and harming competition. The bill’s proposed requirements and penalties would also lead to an increase in disputes and increase costs for Idaho businesses, which would ultimately fall to Idaho consumers through higher prices and costs for consumers. We therefore ask you to decline to advance the bill any further in the legislative process.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers, many of which do business in Idaho. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.² Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to industry standards and commonplace practices within the digital advertising industry. Through these market-based approaches, big brands, nonprofits and family farms alike benefit from the reach and effectiveness of digital advertising. In one example, a family orchard was able to spend \$20 on digital advertising and obtain 300 cars full of potential customers on his farm.³ We would welcome the opportunity to engage with the House Business Committee (“Committee”) further on our comments regarding the bill outlined here.

¹ Idaho SB 1111 (68th Leg., 1st Reg. Sess., 2025), located [here](#) (hereinafter “SB 1111”).

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located [here](#) (hereinafter, “Deighton and Kornfeld”).

³ Digital Advertising Alliance, *Summit Snapshot: Data Drives Small- and Mid-sized Business Online, It’s Imperative that Regulation not Short-Circuit Consumer Connections* (Aug. 17, 2021), located [here](#).

I. SB 1111 Would Unnecessarily Interfere with Commonplace Business-to-Business Interactions

As drafted, SB 1111 would require a publisher to provide a purchaser of a digital advertising opportunity “with verification of geo-targeted impressions by date or other key performance indicators, *as long as the other key performance indicators were agreed to and specified in an agreement between the purchaser and the publisher.*”⁴ The bill thus acknowledges that the issues it attempts to address are already covered by contracts that memorialize negotiations between purchasers of digital advertising opportunities and publishers. SB 1111’s proposed creation of a new cause of action is consequently unnecessary, as parties to a contract can already pursue breach of contract claims for failure to adhere to representations. The bill would disrupt the digital advertising industry by superseding what are typically bargained-for exchanges in a marketplace that is currently operating efficiently and fairly. This bill would harm competition and create additional bureaucracy without any attendant benefit.

In addition, the bill does not contemplate existing avenues purchasers may have for recourse or companies that already offer these verification services in the digital advertising industry. Purchasers of digital advertising opportunities already have their own independent advertising measurement service providers to verify KPIs and other related contractual representations. In addition, the digital advertising industry has developed market-standard practices to address fees and costs when KPIs and other promised advertising reach metrics are not met. As a result, SB 1111 is unnecessary, as systems already exist to provide purchasers of digital advertising with recourse for breaches of contractual representations related to KPIs, geo-targeting, or other advertising reach metrics. If enacted, SB 1111 would unreasonably interfere with existing practices for measuring digital advertising reach and effectiveness.

II. SB 1111’s Onerous Requirements and Proposed Penalties Would Make Idaho Unfriendly to Businesses and Increase Prices for Consumers

SB 1111 would permit purchasers of digital advertising opportunities to bring a cause of action against publishers who do not provide the “verification” of KPIs and geo-targeting required under the bill. The bill would permit purchasers to recover actual damages or a refund of fees paid for the digital advertisement.⁵ Introducing the possibility of refunds would significantly disrupt the accounting and revenue recognition functions of companies in the digital advertising ecosystem. Purchasers of digital advertising services and publishers already have remedies available to redress breach of contract, for example through make-goods and other commonly available solutions. The bill’s proposed penalties are overly onerous and would increase the cost of doing business for companies operating in Idaho. Idaho businesses that bear these additional costs would be likely to push them through to consumers in the form of increased prices and costs for products and services. As a result, SB 1111 is an unnecessary bill that would benefit neither Idaho businesses nor consumers. Please consider this letter as our non-exhaustive list of concerns about this legislation.

⁴ SB 1111 at Sec. 1, § 48-603H(3) (emphasis added).

⁵ *Id.* at Sec. 1, § 48-603H(4).



* * *

We and our members support a healthy digital advertising ecosystem, where entities may negotiate at arms-length to reach mutually agreeable terms in their contracts with one another. If enacted, SB 1111 would harm competition, increase costs for businesses and consumers, and disrupt the digital advertising ecosystem by unreasonably favoring certain market participants over others. SB 1111 is ambiguous, unnecessary, and overly punitive in ways that could harm Idaho businesses and consumers alike. We therefore ask the Committee to decline to advance the bill.

Thank you in advance for your consideration of this letter.

Sincerely,

Christopher Oswald
EVP for Law, Ethics & Govt. Relations
Association of National Advertisers
202-296-1883

Alison Pepper
EVP, Government Relations & Sustainability
American Association of Advertising Agencies, 4As
202-355-4564

Lartase Tiffith
Executive Vice President, Public Policy
Interactive Advertising Bureau
212-380-4700

Clark Rector
Executive VP-Government Affairs
American Advertising Federation
202-898-0089

Lou Mastria
CEO
Digital Advertising Alliance
347-770-0322

CC: Mike Signorelli, Venable LLP
Allie Monticollo, Venable LLP